



[Weekly Market Commentary](#)

Dear clients,

The FOMC press conference on May 2 tempered concerns that the Fed would pivot towards a more hawkish direction of rate hikes, which is marginally supportive for long duration risk assets like crypto. At the same time, the Fed said it will amend the tapering speed of its balance sheet runoff from \$60B per month to \$25B per month, a bigger reduction than many had expected. Concerns about a hawkish Fed have supported USD strength since the March US CPI print was released in mid-April. But we believe that the FOMC's more dovish-than-expected statement has signaled the peak in the USD's upward momentum against both FX and crypto pairs. We expect that the unwinding of some of the currently heavy USD positioning could benefit crypto in the short term.

That said, there has been attention on the recent outflows from US spot bitcoin ETFs. The iShares Bitcoin Trust (IBIT), the largest spot bitcoin ETF, ended its 70-day inflow streak and saw its first ever outflow on May 1. We continue to think that spot ETFs will remain a core demand anchor for bitcoin in the long term, but note that the majority BTC price discovery still occurs on centralized exchanges (CEXs). The average weekday spot volume on CEXs during 1Q24 was \$18.8B, more than eight-fold the \$2.3B daily volume of US spot ETFs over the same period. The shortfall of utilizing US ETFs flows as a proxy for global price discovery is perhaps clearest with gold. SPDR Gold Shares, the largest gold ETF in the US, has had a net outflow of \$3B in 2024, even as gold traded up 12% YTD.

Finally, EigenLayer announced details regarding its upcoming EIGEN token and airdrop. The newly introduced EIGEN token further expands the set of restaking use cases to services with "intersubjectively attributable faults". In other words, services whose correct behaviors cannot be fully proven onchain (e.g. data oracles or cross-chain bridges). The token itself will serve as a new form of slashable collateral in these scenarios, with the slashing itself performed via a novel slash-by-forking mechanism. EIGEN's functionality as collateral within the protocol further introduces a new dynamic to the token that differentiates it from traditional DeFi governance tokens, which we think will take time for the market to fully understand and price. That said, EIGEN will be non-transferable for several months after claims begin on May 10, so price discovery of the asset will be limited until then.

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